

Sakar Healthcare Ltd

Concall Tracker — is there a real earnings driver, and has management stuck to its word?

Reading of all 3 earnings calls held to date (Q2–Q4 FY26) · 04 Jul 2026 · source: company concall transcripts via Screener.in + annual-report / web context

Plain-word key: **Formulations** = finished medicines (tablets, liquids, injections). **Oncology** = cancer drugs. **Bavla plant** = Sakar's new cancer-drug factory near Ahmedabad. **EU-GMP** = a European quality certificate that lets a plant export to Europe. **CDMO / CMO** = making medicines under contract for other (bigger) pharma companies. **Marketing authorization (MA)** = a country's permission to sell a specific drug there. **EBITDA / operating margin (OPM)** = operating profit as a % of sales.

1 Snapshot — what this business is

Sakar Healthcare is a **small Gujarat-based drug maker**. Its old business is ordinary pharmaceutical formulations (tablets, liquids, injections), much of it made under contract for bigger companies. Its **new bet is cancer drugs (oncology)** — it has built a modern, Europe-approved factory at Bavla to make cancer medicines both under its own brand for export and under contract for large Indian pharma firms.

Number (year to March)	Value	What it means in plain words
Revenue FY26	₹252 cr	Total sales, up a strong 42% from ₹178 cr in FY25 — the fastest growth in years.
Net profit FY26	₹30 cr	Bottom-line profit, up about two-thirds (~67%) from ₹18 cr in FY25.
Operating margin FY26	~27%	For every ₹100 of sales, about ₹27 is operating profit — healthy for a small drug maker.
Cancer-drug share	~38%	Oncology jumped to ~38% of sales, from ~21% a year earlier — the growth is coming from cancer drugs.
Debt-to-equity	~0.38	Low borrowing — for every ₹1 of owners' money about ₹0.38 is borrowed. The big factory is built and paid for.
Earnings per share FY26	₹13.70	Profit per share, up from ₹7.97 in FY25.

2 Which calls were read

SHORT HISTORY

Sakar only started holding earnings calls recently — just **3 calls exist**, all within FY26 (Q2 Nov 2025, Q3 Feb 2026, Q4 May 2026). Three quarters is too short to judge multi-year consistency from the calls alone, so the "promised vs delivered" read below is **supplemented with the company's annual reports and public record** for the years before the calls began.

The public backdrop lines up with the calls: the Bavla cancer-drug plant was built in stages between FY22 and FY24, oncology was ~19% of sales in FY25 (growing ~80% that year), and the ₹280 cr FY26 target and the long-term ₹1,000 cr oncology ambition were both set *before* the calls began — so the story wasn't invented for investors.

3 The earnings trigger — what management says will grow profit

HEADLINE

Yes — there is one clear, already-working driver: cancer drugs from the Bavla plant. Oncology went from ~21% to ~38% of sales in a single year and powered FY26's +42% revenue and +67% profit. The factory is fully built with **no more big spending needed** and is running at under 30% of capacity — so there is a long runway if demand fills it. **The catch:** the most valuable part of the plan — selling cancer drugs into *regulated export markets like Europe* — is still near zero and keeps getting pushed back.

Driver	What management said	Evidence so far	Horizon	Strength
Oncology at Bavla (overall)	Cancer drugs become the core growth engine; plant fully built, no fresh capex	Delivered — oncology 21% → 38% of sales; drove +42% revenue, +67% profit in FY26	Now → multi-year	Moderate–Strong
Spare capacity to fill	Plant at <30% use; can reach ₹500 cr then ₹800–1,000 cr with no new capex	Real operating-leverage runway, but utilisation still low; ₹1,000 cr is a ~FY30 aspiration	Long (to ~FY30)	Moderate
Regulated-market oncology EXPORTS	Europe/rest-of-world sales; 11–12 country approvals; Imatinib for Accord UK	Still near zero — first real EU shipment slipped from Q4 FY26 to FY27; premium leg unproven	FY27+	Unproven
Contract manufacturing (tech-transfer)	10-molecule tie-up with Accord/Intas worth ₹50–100 cr; ₹450 cr SKU pipeline	Big headline numbers, self-described "non-binding"; only ~2 of 10 molecules live	FY27+	Unproven
Domestic contract business	Steady base making drugs for Indian majors	Reliable cash-generative backbone (~60% of sales); grows ~10–20%	Now	Moderate

4 Has management been consistent? — promised vs delivered

What was promised	When	What actually happened	Verdict
FY26 revenue ₹280 cr (defended as "on track" in Q2 and Q3)	AGM → Q2 → Q3	Came in ₹252 cr (+42%) — real growth, but ~10% short of the number they defended; the Q4 call quietly stopped mentioning ₹280 cr	Missed
Margin dip is one-off; "back on track from Q3"	Q2	Delivered — margin recovered to 26% (Q3) and 37% (Q4)	Delivered
Oncology "almost doubling," becoming the core engine	Q2 → Q4	Share of sales did roughly double (21%→38%); but the absolute oncology number flattened between Q3 and Q4	Partly
First European commercial export (Bulgaria / Imatinib)	Q2 (for Q4 FY26)	Repeatedly deferred into FY27 — not yet a real revenue line	Slipped
"No further capex — FY27 maintenance only"; keep debt low	Q2 → Q4	Held firmly across all three calls; balance sheet stayed clean (debt-to-equity ~0.38)	Delivered

Has the story drifted? Remarkably little. Across all three calls the message was the same — build the cancer-drug business off a fully-paid factory, sell via exports and contract manufacturing, spend no more money. If anything the focus **tightened** (from "diversified pharma" to "pure-play oncology exporter"). Same spokesperson throughout; tone moved from confident-but-defensive (explaining a margin dip) to upbeat to "we delivered what we guided." **The blemishes:** they missed the one hard number (₹280 cr) they'd defended twice without acknowledging it, and the big opportunity figures (₹450 cr, ₹1,000 cr) are large, non-binding, and far ahead of what has actually shipped.

5 Bottom line

Durable earning trigger? → **MAYBE** (leaning yes)

There **is** a real, capitalised driver already lifting the numbers — cancer drugs from a paid-for factory running below 30% capacity, which gives a genuine multi-year runway if demand fills it (FY26: +42% sales, +67% profit). What holds it back from a clean "yes" is that the highest-value leg — **regulated-market exports** — is still near zero and keeps slipping, so the premium part of the thesis is unproven.

Management consistent? → **MAYBE**

The story has been steady and the capex/debt discipline was kept to the letter — genuinely reassuring. **But** they missed the ₹280 cr revenue target they'd publicly defended for two straight quarters and didn't own the miss, and their headline opportunity numbers run well ahead of delivery. Consistent in narrative and balance-sheet discipline; less reliable on the specific numbers they put out.

Only 3 earnings calls exist (all FY26), so this consistency read is partly based on annual-report and public context for earlier years. It is not investment advice. Do your own due diligence.